

Q4 Cash Positioning and FX Hedging Strategy

Nexus Global Trading Plc. • October 2024

MEMORANDUM: GLOBAL TREASURY OPERATIONS

TO: Chief Financial Officer

FROM: VP, Corporate Treasury

SUBJECT: Q4 Cash Positioning, Liquidity Buffer, and FX Hedging

As we enter the fourth quarter of 2024, the Corporate Treasury department has finalized the rolling 13-week cash flow forecast. Consolidated global cash reserves as of October 1 stand at \$142.5 million, with \$85.2 million held in Tier-1 jurisdictions. Projected operating cash inflows for Q4 are modeled at \$310.4 million, largely driven by peak-season retail collections.

Projected outflows total \$288.7 million, which includes a scheduled \$25.0 million maturity on our 2021 Series B commercial paper and a \$12.5 million quarterly dividend payout. To optimize yield on excess liquidity, \$40.0 million of domestic idle cash has been swept into overnight repurchase agreements (Repos) yielding an average of 4.85%.

Foreign Exchange (FX) Exposure:

Due to the recent volatility in the EUR/USD corridor, Treasury has executed forward contracts to hedge 75% of our projected Q4 European accounts receivable (approximately €45.0 million). The weighted average strike price secured is 1.0850. This proactive hedging strategy mitigates downside translation risk should the Euro depreciate further against the Dollar prior to year-end settlement. The remaining unhedged 25% will be managed via spot market conversions to maintain operational flexibility for our Frankfurt logistics hub.